IN THE NATIONAL COMPANY LAW TRIBUNAL

NEW DELHI BENCH- V

CA (CAA) 38/230-232/ND/2021
COMP.APPL/552(ND)2021
COMP.APPL/4(ND)2022
IA(COMPANIES.ACT)/64(ND)2022

IN THE MATTER OF:

Sections 230-232 of the Companies Act, 2013 read with Companies (Compromises, Arrangements, and Amalgamations) Rules, 2016.

AND

IN THE MATTER OF SCHEME OF ARRANGEMENT

AMONGST

CONSCIENT INFRASTRUCTURE PRIVATE LIMITED
K-1, Green Park Main,
New Delhi-110016

.....Applicant No. 1/Transferee Company

AND

BCC EDUTECH PRIVATE LIMITED
K-1, Green Park Main,
New Delhi-110016

.....Applicant No. 2/Transferor Company No. 1

AND

URBAN BUILDMART PRIVATE LIMITED
K-1, Green Park Main,
New Delhi-110016

.....Applicant No. 3/Transferor Company No. 2

ORDER DELIVERED ON: 14.10.2022

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CORAM:

SHRI P.S.N. PRASAD, HON'BLE MEMBER (JUDICIAL)

SHRI RAHUL BHATNAGAR, HON'BLE MEMBER (TECHNICAL)

For the Applicant(s): Adv. Namitha Mathews, Adv. Ayush Puri, Adv. Prateek Kumar, Adv. Konark Rishi Bhatnagar

ORDER

PER SHRI. P.S.N. PRASAD, MEMBER (JUDICIAL)

This is an application filled by the Applicant Companies under Section 230 to 232 of the Companies Act, 2013 (for brevity "The Act") read with Companies (Compromises, Arrangements and Amalgamation) Rule, 2016 (for brevity "The Rules") in relation to the Scheme of Arrangement (for brevity the "The Scheme") proposed between the Applicant Companies. In terms of Sections 230 and 232 of the Act, the following prayers have been made for orders:-

a) *To allow this application and approve & sanction the Scheme of Arrangement as proposed; and/or*
b) *Direct for the dispensation of holding of the meeting of the unsecured and secured Creditors of the Transferor Company-1 in accordance with the provisions of section 230(9) of the Act; and/or*
c) *Direct for the dispensation of holding of the meeting of the unsecured and secured Creditors of the Transferor Company-2 in accordance with the provisions of section 230(9) of the Act; and/or*
d) *Direct for the dispensation of holding of the meeting of the unsecured and secured Creditors of the Transferee Company in accordance with the provisions of section 230(9) of the Act; and/or*

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e) *Direct for the dispensation of holding of the meeting of the equity shareholders of the Transferor Company-1; and/or*

f) *Direct for the dispensation of holding of the meeting of the equity shareholders of the Transferor Company-2; and/ or*

g) *Direct for the dispensation of holding of the meeting of the equity shareholders of the Transferee Company; and/or*

h) *Pass such other and further orders as this Hon'ble Tribunal may deem fit in the facts and circumstances of the case.*

2. That the affidavits in support of the application sworn for and on behalf of the Applicant Companies have been filed by Mr. Lalit Jain, Mr. Ajay Kumar Agrawal and Mr. Rajesh Jain being the authorized signatories.

3. That it is represented that the Scheme does not contemplate any corporate debt restructuring exercise as contemplated under Section 230(2) of the Act. It is represented that the application filed by the Applicant Companies is maintainable in view of Rule 3(2) of the Rules and it is also represented that the registered office of all the Applicant Companies are situated within the territorial jurisdiction of this Tribunal and falls within the domain of Registrar of Companies, NCT, New Delhi.

4. That it is submitted that the proposed arrangement is sought to be made under the provisions of Section 230 to 232 of the Companies Act, 2013 and the same if sanctioned by this Tribunal the appointed date as provided in the Scheme shall be **01.04.2020.**

5. That in relation to the Transferor Company No. 1, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been placed on record. It is further submitted that the Transferor Company No. 1 has NIL Secured and 3 Unsecured Creditors, whose consent affidavits have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferor Company No. 1 seeks dispensation from convening and holding

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of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

6. That in relation to the Transferor Company No. 2, it has been represented that the company has 2 Equity Shareholders and consent affidavits from all the shareholders have been placed on record. It is further submitted that the Transferor Company No. 2 has NIL Secured and 1 Unsecured Creditor, whose consent affidavits have been placed on record. In relation to the shareholders, secured and unsecured creditors, the Transferor Company No. 2 seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme.

7. That in relation to the Transferee Company, it has been represented that the company has 10 Equity Shareholders and consent affidavits from all the shareholders have been placed on record constituting. It is further submitted that the Transferee Company has 3 Secured Creditors whose consent affidavits have been placed on record. It is further submitted that the Transferee Company has 311 Unsecured Creditors and the consent affidavits have been placed on record constituting 90% in total value. In relation to the shareholders and secured creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that all of them have given their consent affidavits in favour of the Scheme. In relation to the Unsecured Creditors, the Transferee Company seeks dispensation from convening and holding of their respective meetings, on the ground that the creditors constituting 90% in total value have given their consent affidavits in favour of the Scheme.

8. We have heard the Ld. Counsel for the Applicant Companies and perused the averments made in the application and the connected documents filed along with the Scheme of Arrangement contemplated between the Companies.

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9. That the Transferor Company No. 1 – BCC EDUTECH PRIVATE LIMITED was incorporated on 03.07.1991 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 10,00,000/- divided into 10,000 equity shares of Rs. 100/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 10,00,000/- divided into 10,000 equity shares of Rs. 100/- each.

10. That the Transferor Company No. 2 – URBAN BUILDMART PRIVATE LIMITED was incorporated on 17.10.2005 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 1,00,00,000/- divided into 10,00,000 equity shares of Rs. 10/- each. The issued, subscribed and paid-up share capital of the Company is Rs. 50,00,000/- divided into 5,00,000 equity shares of Rs. 10/- each.

11. That the Transferee Company – CONSCIENT INFRASTRUCTURE PRIVATE LIMITED was incorporated on 23.02.1990 in the state of Delhi under the provisions of Companies Act, 1956. The authorised share capital of the Company is Rs. 5,25,00,000/- divided into 5,25,000 equity shares of Rs. 100/- each. The issued, subscribed and paid-up share capital of the Company is 3,11,33,900/- divided into 3,11,339 equity shares of Rs. 100/- each.

12. It is seen that the Board of Directors of all the Applicant Companies vide meetings held on 08.12.2020 have unanimously approved the proposed Scheme of Arrangement. Copies of such resolutions passed have been placed on record.

13. That the Applicant Companies have filed the Audited Financial Statements for the financial year ended 31st March, 2021.

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14. That the Applicant Companies have submitted vide Affidavits dt. 15.12.2021 and 17.12.2021 that no inspection, inquiry or investigation is pending against any of the Applicant Companies.

15. That the Certificate of respective statutory auditors of the Applicant Companies have been placed on record confirming that the accounting treatment in the scheme is in conformity with Section 133 of the Companies Act, 2013.

16. Share Valuation Report dated 20.07.2022, obtained from Registered Valuer, has also been placed on record.

17. That COMP.APPL/552(ND)2021 has also been filed placing on record additional documents and COMP.APPL/4(ND)2022 has been filed stating the list of homebuyers of the Transferee Company as on 31.03.2021 and the list of projects with the status update. Further, IA(COMPANIES.ACT)/64(ND)2022 has been filed placing on record Occupation Certificates received from the Director, Town and Country Planning Department, Chandigarh. It can be seen from the aforementioned records that there are total 4 projects. Further, Occupation Certificate has been received for 3 projects and one project is under construction with 40% work completed.

18. Post clarification order dated 07.09.2022, Affidavit dated 13.09.2022 was filed and it has been submitted that the Homebuyers/allottees in the projects developed by the Transferee Company are categorized as Secured Creditors. It has been further submitted that 100% of the allottees have been duly offered possession out of which more than 75% of the Homebuyers/allottees have already taken possession of their respective allotted units in their choice of project and the remaining Homebuyers/allottees are to come forth to take possession, which the responsibility lies solely on the Homebuyers/allottees. The details are tabulated below:

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S. No.	Project Name	RERA No.	Status	No. of homebuyers/allottees	No. of homebuyers who have taken possession	No. of homebuyers who have not taken possession
1.	Conscient One (Commercial)	102 of 2008, 83 of 2014 and 25 of 2019	Occupation Certificate Received on 01.09.2020	412	335	77
2.	Urban Street (Shops)	78 of 2017	Occupation Certificate Received on 31.12.2021	102	71	31
3.	Habitat- 78 (Affordable Flats)	78 of 2017	Occupation Certificate Received on 31.12.2021	1105	930	175
4.	Habitat Residences (Affordable Flats)	63 of 2019	Under Construction	721	-	721
5.	**Total**			2340	1336	1004

19. On the basis of above, it is to be noted that out of total 2340 homebuyers/allottees, 1619 have been offered possession of their allotted units by the Transferee Company. Out of those 1619, 1336 homebuyers have opted to take the possession. Hence, 1004 homebuyers are yet to take possession of their respective unit which includes 283 homebuyers who have not taken possession and 721 homebuyers whose units are under construction. Therefore, it can be ascertained that a total of 1004 homebuyers are still considered as the creditors of the Transferee Company.

20. As per the Section 230 of the Companies Act, 2013, the Tribunal is empowered to dispense with the meeting of shareholders if they have given their consent. Further, in view of Section 230(9) of the Companies Act, 2013, the Tribunal is empowered to dispense with calling of a meeting of creditor or class of creditors where such creditors or class of creditors,

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having at least ninety per cent value, agree and confirm, by way of affidavit, to the scheme of compromise or arrangement

21. In sequel to the above, in our considered view, the following directions are given: -

A. **In relation to the Transferor Company No. 1:**

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting of shareholders is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting of Unsecured Creditors is dispensed with.

B. **In relation to the Transferor Company No. 2:**

i. With respect to Shareholders:

Since all the shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Secured Creditors:

Since there is no Secured Creditor, therefore, the necessity of convening and holding a meeting does not arise.

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iii. With respect to Unsecured Creditors:

Since all the Unsecured Creditors have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

C. **In relation to the Transferee Company:**

i. With respect to Shareholders:

Since all the Shareholders have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

ii. With respect to Unsecured Creditors:

Since the Unsecured Creditors constituting over 90% of the total value have already placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

iii. With respect to Secured Creditors:

Since the 3 Secured Creditors have placed their consent-affidavits on record, therefore, the necessity of convening and holding a meeting is dispensed with.

iv. With respect to Homebuyers/Allottees:

There are a total of 2340 Homebuyers/Allottees. Since 57% of the homebuyers i.e. 1336 homebuyers have taken possession, they are no longer classified as creditors, therefore, the necessity of convening and holding their meeting does not arise.

However, the remaining 43% i.e. 1004 homebuyers who are yet to take possession, are still classified as creditors. Therefore, the meeting of the 1004 creditors of the Transferee Company is directed

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to be held within 60 days of this order. The Quorum of the meeting shall be 75% in value of the creditors/homebuyers.

D. In case the quorum as noted above for the aforesaid meeting are not present at the meeting, then the meeting shall be adjourned by half an hour, thereafter the persons present and voting shall be deemed to constitute the quorum. For the purpose of computing the quorum, the valid proxies shall also be considered, if the proxy in the prescribed form, duly signed by the person entitled to attend and vote at the meeting is filled with the Registered Office of the Transferee Company at least 48 hours before the meeting. The Chairperson and the Scrutinizer appointed herein shall ensure that the proxy registers are properly maintained.

E. Dr. Asha Ram Sihag IAS (Retd.) email: arsihag@gmail.com , Mob.: 9911558502 is appointed as the Chairperson , Mr. Avdhesh Bairwa email: avdheshbairwalaw@gmail.com, Mob.: 9988723233 is appointed as the Alternate Chairperson and CA Kushagra Goyal email: fca.kushagragoyal@gmail.com, Mob.: 9811097574 is appointed as Scrutinizer for the aforesaid meeting in terms of the direction issued herein.

F. The fee of the Chairperson for the aforesaid meetings shall be Rs. 75,000/-, the fee of the Alternate Chairperson shall be Rs. 50,000/- and the fee of the Scrutinizer shall be Rs. 35,000/- in addition to meeting their incidental expenses.

G. The individual notices of the said meeting shall be sent as required and prescribed by the Companies Act, 2013 through registered post or speed post or through courier or through e-mail, 30 days in advance before the scheduled date of the meeting, indicating the day, date, place and time as aforesaid, together with a copy of scheme of arrangement and a copy of explanatory statement. The notice convening meeting shall be uploaded on the website of the Transferee Company. In addition to the above any other documents as may be

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prescribed under the Act or rules shall also be sent with the notice of the meetings.

H. That the Transferee Company shall publish advertisement with a gap of at least 30 days before the aforesaid meetings, indicating the day, date and the place and time as aforesaid, to be published in Delhi Editions of "Business Standard" both English and Hindi stating that the Copies of the Scheme, the Explanatory Statement required to be furnished pursuant to Section 230 of the Companies Act, 2013 shall be provided free of charge at the Registered office of the Transferee Company.

I. Voting shall be allowed on the proposed Scheme by voting in person or through electronic means as may be decided by the Chairperson in consultation with the Counsel for the Applicants. The Chairperson shall be responsible to report the result of the meeting to this Tribunal within two weeks of the conclusion of the meeting with regard to the proposed scheme.

J. Notice of this Meeting shall also be served on the following authorities:-

   a. The Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, B-2 Wing, 2nd Floor, Pt. Deen Dayal Antodaya Bhawan, CGO Complex, Lodhi Road, New Delhi-110 003;

   b. The Registrar of Companies, NCT of Delhi, Ministry of Corporate Affairs, 4th Floor, IFCI Tower, 61, Nehru Place, New Delhi-110019;

   c. The Official Liquidator, Ministry of Corporate Affairs, 8th Floor, Lok Nayak Bhawan, Khan Market, New Delhi-110001;

   d. The Income Tax Department, through the Nodal Office- DCIT (High Court Cell), Room No. 428 & 429, Lawyer's Chambers, Block No. 1, Delhi High Court, New Delhi. The notices to Income Tax authorities shall disclose sufficient details like PAN card

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numbers, ward numbers and assessing officers so that timely and proper reply may be filed.

e. Such other Sectoral Regulatory Authorities who may have significant bearing on the operation of the company.

K. All the aforesaid directions are to be complied with strictly in accordance with the applicable law including forms and formats contained in the Companies (Compromises, Arrangements, Amalgamations) Rules, 2016 as well as the provisions of the Companies Act, 2013 by the Transferee Company.

22. **Accordingly, in terms of the above order, CA (CAA) 38 (ND) of 2021 is allowed and COMP.APPL/552(ND)2021, COMP.APPL/4(ND)2022 and IA(COMPANIES.ACT)/64(ND)2022 are accordingly disposed of.**

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(RAHUL BHATNAGAR)
MEMBER (TECHNICAL)

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(P.S.N. PRASAD)
MEMBER (JUDICIAL)